ARENJA & RAJ FINANZ

FREE GUIDE · HOME

Buying your first home in Germany as an expat

What banks really check, what it costs on top of the price, and how families get up to €180,000 from KfW.

- Can expats buy? Myths vs. reality
- The real costs: tax, notary, broker – per federal state
- KfW family loans: up to €180,000 (existing) / €270,000 (new build)
- How much can you afford? Table by net income
- The 10 documents every bank asks for

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Mortgage & insurance brokers for expats in Germany
English · Hindi · German

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STEP 1

Yes, you can buy – without a German passport

German banks don't ask for citizenship or perfect German. They look at four things: stable income, how long you can stay, your existing debts and how much of the extra costs you can pay yourself.

❌ "I need a German passport"

✅ No. A residence permit or Blue Card works. Banks look at how long it is valid and whether a permanent permit is in sight.

❌ "No bank lends to expats"

✅ Many do – but not every bank. Some want a permanent permit, others accept a Blue Card. That's why comparing matters.

❌ "I need 20–30% equity"

✅ Not always. Strong incomes can get up to 100% of the price financed. The extra buying costs you usually pay yourself.

❌ "My SCHUFA is empty, so no chance"

✅ A short history is normal for expats. Clean bank statements and no open consumer loans count a lot.

What every bank checks

- [ ] **Income & job:** permanent contract, probation period over (big plus)
- [ ] **Residence:** type of permit and how long it is valid
- [ ] **Debts:** car loans, credit cards, "buy now pay later" – they reduce your loan amount
- [ ] **Equity:** at least the buying costs (around 8–12% of the price) from savings
- [ ] **Bank statements:** regularly in the red on your account (Dispo) is a warning sign

Not sure if a bank will finance you?
We check your chances with several banks at once – before you fall in love with a flat.

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STEP 2

The real price: costs on top of the purchase price

On top of the price you pay property transfer tax (Grunderwerbsteuer), notary + land register and – if a broker is involved – the broker fee. Most banks want you to pay these from savings.

Federal state	Transfer tax	Federal state	Transfer tax
Bavaria	3.5%	Hesse	6.0%
Baden-Württemberg	5.0%	Mecklenburg-Vorpommern	6.0%
Bremen, Lower Saxony	5.0%	Brandenburg	6.5%
Rhineland-Palatinate, Saxony-Anhalt	5.0%	North Rhine-Westphalia	6.5%
Thuringia	5.0%	Saarland	6.5%
Hamburg, Saxony	5.5%	Schleswig-Holstein	6.5%
Berlin	6.0%		

Rates 2026 (baufi24, as of Nov 2026). Notary + land register: rule of thumb about 1.5–2% of the price. Broker: buyer's share usually up to 3.57% incl. VAT.

Example: flat for €400,000

	NRW	Bavaria
Transfer tax	€26,000	€14,000
Notary + land register (2%)	€8,000	€8,000
Broker (3.57%)	€14,280	€14,280
Extra costs total	**€48,280**	**€36,280**

💡 **Tip:** These costs are the number to save for first – not 20% of the price.

How much do you need to save?
In the call we calculate your exact buying costs and how much the bank can finance.

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STEP 3 · STATE MONEY

KfW family loans: up to €180,000 for an old home

KfW is Germany's state-owned development bank. With children you can get a low-interest loan on top of your normal mortgage. Many families don't know it exists – or apply too late.

"Jung kauft Alt" (KfW 308) – existing house or flat

Children	Max. taxable income	KfW loan up to
1 child	€90,000	€140,000
2 children	**€100,000**	**€160,000**
3+ children	€110,000 (+€10,000 per extra child)	€180,000

- [ ] At least one child under 18 lives with you
- [ ] Home has energy class F, G or H – and you renovate it within 4.5 years
- [ ] Nobody in your household owns a home **in Germany** – 🇮🇳 a flat in India does not count
- [ ] Income = average taxable household income of the 2nd and 3rd year before you apply (German tax assessments)

"Wohneigentum für Familien" (KfW 300) – new build

For new, very energy-efficient homes (Efficiency House 40): €170,000–€220,000, with sustainability seal (QNG) €220,000–€270,000, depending on the number of children. Same income limits.

> ⚠️ **The #1 mistake:** signing the purchase contract first. The KfW loan must be applied for through your financing partner **before** you buy (or the contract needs a condition). Afterwards it's too late.

Sources: KfW leaflet 308 (08/2026), kfw.de programme 300 (2026). Many federal states have their own extra programmes – we check them for you.

Do you qualify for KfW?
We check KfW + state programmes and apply for them together with your mortgage.

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STEP 4

How much home can you afford?

A common rule: your monthly loan payment should be at most about 35% of your household net income. Find your income in the table.

Household net income / month	Max. payment (35%)	Possible loan (example)
€3,000	€1,050	≈ €210,000
€4,000	€1,400	≈ €280,000
€5,000	**€1,750**	**≈ €350,000**
€6,000	€2,100	≈ €420,000
€7,000	€2,450	≈ €490,000

Example: 4.0% interest + 2.0% initial repayment per year. Your real rate depends on equity, term and the market. A KfW loan on top can increase what's possible.

The 10 documents banks ask for

- ☐ Passport + residence permit
- ☐ Work contract
- ☐ Last 3 payslips
- ☐ Last tax assessment (Steuerbescheid)
- ☐ Bank statements, last 3 months
- ☐ SCHUFA report
- ☐ Proof of savings
- ☐ Exposé of the property
- ☐ Floor plan + living area
- ☐ Land register extract

💡 Collect these before viewing flats – then you can make an offer with a financing confirmation in days, not weeks.

Want your personal number?
We calculate your budget with real offers from several banks – free.

Book free call →

YOUR NEXT STEP

Let's find out what you can buy – and which KfW money you get

In a free 30-minute call we look at your situation and give you a clear answer. No obligation, no hard sell.

1
We check your budget, residence permit and documents

2
We check KfW and state programmes you qualify for

3
You get real offers from several banks to compare

Book your free 30-minute call

Scan the code or tap the link – pick a time that suits you. Online, in English, Hindi or German.

outlook.office.com/book/ArenjaRaj@arfinanz.de

Or send us a DM on Instagram: **@arfinanz**

Licensed brokers
§34i (mortgages) and §34d (insurance) GewO

Many banks & insurers
We compare – you don't have to visit them one by one

Made for expats
Blue Card, no SCHUFA history, family in India – we know the questions

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